

AUDIT INVESTIGATION REPORT

Investigation No. INV-00332 | Type: Compliance Review

Investigation ID:	INV-00332
Investigation Type:	Compliance Review
Status:	COMPLETED
Trigger Source:	Routine audit sampling
Lead Investigator:	Crystal Adams (EMP-64452)
Subject Employee:	Dawn Stanley (EMP-9606)
Related Vendor:	ClearPath Logistics (VND-00245)
Related Transaction:	TXN-811918
Scope Period:	2020-07-13 to 2021-12-05
Created Date:	2023-01-13
Completed Date:	2023-03-31
Outcome:	PARTIALLY SUBSTANTIATED

1. AUDIT QUESTION

"Are there transactions approved by employees whose authority limit was insufficient?"

2. BACKGROUND

This investigation was initiated following a routine audit sampling relating to activity associated with employee Dawn Stanley (EMP-9606) and vendor ClearPath Logistics (VND-00245). The investigation scope covers the period 2020-07-13 to 2021-12-05 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-811918 (amount 330,229.15 USD, risk score 0.84). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-004112	MEDIUM	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 58% below the required threshold.
FND-000163	MEDIUM	VENDOR RISK	Payment issued to VND-VND-04960 rated LOW risk. Active contract CON-108809 in place. Enhanced due diligence not documented.
FND-001108	CRITICAL	POLICY BREACH	Entertainment expense of \$170,270 submitted by EMP-56214 exceeds monthly policy allowance of \$5,000.

5. CONCLUSION

The investigation found **PARTIAL** support for the concerns raised. While some irregularities were confirmed, a complete policy breach could not be conclusively established for all elements of the original allegation.

6. ACTIONS TAKEN

- Formal written warning issued and recorded in personnel file.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Crystal Adams	EMP-64452	2023-03-31